

To: Executive Staff and direct Reports
From: Bill Gates
Date: May 26, 1995
Re: The Internet Tidal Wave

Our vision for the last 20 years can be summarized in a succinct way. We saw that exponential improvements in computer capabilities would make great software quite valuable. Our response was to build an organization to deliver the best software products. In the next 20 years the improvement in computer power will be outpaced by the exponential improvements in communications networks. The combination of these elements will have a fundamental impact on work, learning and play. Great software products will be crucial to delivering the benefits of these advances. Both the variety and volume of the software will increase.

The Internet is at the forefront of all of this and developments on the Internet over the next several years will set the course of our industry for a long time to come. Perhaps you have already seen memos from me or others here about the importance of the Internet. I have gone through several stages of increasing my views of its importance. Now I assign the Internet the highest level of importance. In this memo I want to make clear that our focus on the Internet is crucial to every part of our business. The Internet is the most important single development to come along since the IBM PC was introduced in 1981. It is even more important than the arrival of the graphical user interface (GUI).

The Internet's unique position arises from a number of elements. TCP/IP protocols that define its transport level support distributed computing and scale incredibly well. The Internet Engineering Task Force (IETF) has defined an evolutionary path that will avoid running into future problems even as eventually everyone on the planet connects up. The HTTP protocols that define HTML Web browsing are extremely simple and have allowed servers to handle incredible traffic reasonably well.

Amazingly it is easier to find information on the Web than it is to find information on the Microsoft Corporate Network. This inversion where a public network solves a problem better than a private network is quite stunning. This inversion points out an opportunity for us in the corporate market. An important goal for the Office and Systems products is to focus on how our customers can create and publish information on their LANs. All work we do here can be leveraged into the HTTP/Web world.

Competitors — The Netscape Threat

Our traditional competitors are just getting involved with the Internet. Novell is surprisingly absent given the importance of networking to their position however Frankenberg recognizes its importance and is driving them in that direction. Novell has recognized that a key missing element of the Internet is a good directory service.

Some competitors have a much deeper involvement in the Internet than Microsoft. All UNIX vendors are benefiting from the Internet since the default server is still a UNIX box and not Windows NT, particularly for high end demands. SUN has exploited this quite effectively.

A new competitor "born" on the Internet is Netscape. Their browser is dominant, with 70% usage share, allowing them to determine which network extensions will catch on. They are pursuing a multi-platform strategy where they move the key API into the client to commoditize the underlying operating system. They have attracted a number of public network operators to use their platform to offer information and directory services. We have to match and beat their offerings including working with MCI, newspapers, and other who are considering their products.

One scary possibility being discussed by Internet fans is whether they should get together and create something far less expensive than a PC which is powerful enough for Web browsing. This new platform would optimize for the datatypes on the Web. Gordon Bell and others approached Intel on this and decided Intel didn't care about a low cost device so they started suggesting that General Magic or another operating system with a non-Intel chip is the best solution.

Our Response

In highlighting the importance of the Internet to our future I don't want to suggest that I am alone in seeing this. There is excellent work going on in many product groups. Over the last year, a number of people have championed embracing TCP/IP, hyperlinking, HTML, and building client, tools and servers that compete on the Internet. However, we still have a lot to do. I want every product plan to try and go overboard on Internet features. One element that will be crucial is coordinating our various activities. The challenge/opportunity of the Internet is a key reason behind the recent organization. Paul Maritz will lead the Platform group to define an integrated strategy that makes it clear that Windows machines are the best choice for the Internet. This will protect and grow our Windows asset. Nathan and Pete will lead the Applications and Content group to figure out how to make money providing applications and content for the Internet.

We must also invest in the Microsoft home page, so it will be clear how to find out about our various products. Today it's quite random what is on the home page and the quality of information is very low. I believe the Internet will become our most important promotional vehicle.

ITG needs to take a hard look at whether we should drop our leasing arrangements for data lines to some countries and simply rely on the Internet.

Windows Platform Actions

The actions required for the Windows platform are quite broad. Paul Maritz is having an Internet retreat in June which will focus on coordinating these activities. Some critical steps are the following:

1. Server. BSD is working on offering the best Internet server as an integrated package. We need to understand how to make NT boxes the highest performance HTTP servers. Our server offerings need to beat what Netscape is doing including billing and security support. A major opportunity/challenge is directory. If the features required for Internet directory are not in Cairo or easily addable without a major release we will miss the window to become the world standard in directory.
2. Client. First we need to offer a decent client (O'Hare) that exploits Windows 95 shortcuts. However this alone won't get people to switch away from Netscape. We need to figure out how to integrate Blackbird, and help browsing into our Internet client. We need to move all of our Internet value added from the Plus pack into Windows 95 itself as soon as we possible can with a major goal to get OEMs shipping our browser preinstalled. Without unification we will lose to Netscape/HotJava.
3. File sharing/Window sharing/Multi-user. We need to give away client code that encourages Windows specific protocols to be used across the Internet.
4. Forms/Languages. We need to make it very easy to design a form that presents itself as an HTML page. Today the Common Gateway Interface (CGI) is used on Web servers to give forms 'behavior' but its quite difficult to work with.
5. Search engines. Verity has done good work with Notes, Netscape, AT&T and many others to get them to adopt their scalable technology. We need to come up with a strategy to bring together Office, Mediaview, Help, Cairo, and MSN.

Applications and Content Actions / Conclusion

The actions required for the Applications and Content group are also quite broad:

1. Office. Allowing for collaboration across the Internet and allowing people to publish in our file formats for both Mac and Windows with free readers is very important.
2. MSN. The merger of the On-line business and Internet business creates a major challenge for MSN. It can't just be the place to find Microsoft information on the Internet.
3. Consumer. The Internet will assure a large audience for a broad range of titles. However the challenge of becoming a leader in any subject area in terms of quality, depth, and price will be far more brutal than today's CD market.
4. Broadband media applications. With the significant time before widescale iTV deployment we need to look hard at which applications can be delivered in an ISDN/Internet environment.
5. Electronic commerce. Key elements of electronic commerce including security and billing need to be integrated into our platform strategy.

We enter this new era with some considerable strengths. Among them are our people and the broad acceptance of Windows and Office.

The next few years are going to be very exciting as we tackle these challenges and opportunities. The Internet is a tidal wave. It changes the rules. It is an incredible opportunity as well as incredible challenge. I am looking forward to your input on how we can improve our strategy to continue our track record of incredible success.